



CHAPTER xvi.

An Act to provide for the transfer of the business of the Bankers Guarantee Trust to the Alliance Assurance Company Limited and for other purposes. A.D. 1919.

[29th May 1919.]

WHEREAS by the Bankers Guarantee and Trust Fund Incorporation Act 1910 the Bankers Guarantee Trust (hereinafter called "the trust") was incorporated with the object of guaranteeing bankers in Great Britain or Ireland and the Isle of Man and the Channel Islands and others against losses arising from fraud or dishonesty or criminal misconduct on the part of persons employed by them and other objects specified in the said Act and there was by the said Act transferred to the trust all funds rights chattels personal estate and liabilities of the trustees of the Bankers Guarantee and Trust Fund which had been established with similar objects in the year 1865 :

And whereas by the said Act provision was made as to the membership of the said fund and any additions which might thereafter be made thereto and the conduct and management of the business of the trust and the application of surplus funds thereof in the event of the same being finally wound up and as to other matters more particularly set forth in the said Act :

And whereas the trust is now possessed of a large fund accumulated from premiums and interest thereon represented by reserve funds and cash and securities to the value as on the fourth day of November 1918 of two hundred and twenty-six thousand seven hundred and seventy-seven pounds or thereabouts and the trust is now responsible for guarantees to the amount

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A.D. 1919. of thirteen million three hundred and sixty-six thousand five hundred and fifty pounds or thereabouts :

And whereas the Alliance Assurance Company Limited (hereinafter called "the Company") was formed in the year 1824 but was on the eleventh day of April 1902 incorporated under the Companies Acts 1862 to 1900 and is possessed of very large funds and carries on (inter alia) the general business of guaranteeing the fidelity of servants and others :

And whereas the Company is empowered to enter into and carry into effect contracts for purchasing or taking over the whole or any part of the business or property of any company or association authorised to carry on any description of business which the Company is authorised to carry on :

And whereas the objects of the trust can be more economically and conveniently carried out by the Company and the trust and the Company have entered into the agreement set forth in the schedule to this Act for the transfer of the business of the trust to the Company and the trust have been actuarially advised that the terms of such agreement would be to the advantage of their members :

And whereas it is expedient that the said agreement should be confirmed and made binding and that such other provision should be made as is contained in this Act :

And whereas the objects of this Act cannot be effected without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows :—

Short title.

1. This Act may be cited as the Bankers Guarantee Trust (Transfer to Alliance Assurance) Act 1919.

Interpretation.

2. In this Act the following expressions have the following meanings unless the context otherwise requires :—

"The Act of 1910" means the Bankers Guarantee and Trust Fund Incorporation Act 1910 ;

"The trust" means the Bankers Guarantee Trust incorporated by the Act of 1910 ;

"The members" means persons being members of the new fund defined by the Act of 1910 ;

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“The fixed date” means the first day of July 1919; A.D. 1919.

“The Company” means the Alliance Assurance Company;

“The directors” means the directors of the trust in office
at the passing of this Act; and

“The scheduled agreement” means the agreement set forth
in the schedule to this Act.

3. The scheduled agreement is by this Act confirmed and made binding on the trust and the Company and on all subscribers to and members of any fund of the trust and on all banks holding policies of the trust and on the members and shareholders of the Company and on all other persons interested and shall be carried into effect accordingly. Confirmation of agreement.

4. On and after the fixed date the Company shall in accordance with the scheduled agreement be subject to and shall undertake pay satisfy discharge perform and carry out the contracts debts liabilities and engagements of the trust and shall keep the trust and the directors indemnified in respect of the same accordingly. As to debts &c.

5. Nothing in this Act shall cause the abatement or discontinuance of or in anywise prejudicially affect any action arbitration or other proceedings or cause of action arbitration or other proceeding pending or existing by or against the trust either solely or jointly with any other company or person immediately before the fixed date but the same may so far as relates to any right interest or matter to be transferred to and vested in the Company under the scheduled agreement be continued and enforced by or in favour of or against the Company to the same extent as the same might have been continued and enforced by or in favour of or against the trust if this Act had not been passed. Actions &c. to continue.

6. Subject to the provisions of the scheduled agreement all officers and persons who on or after the fixed date have in their possession or under their control any books documents or papers belonging to the trust or to which the trust but for this Act would be entitled shall deliver up the same to the Company or to such persons as the directors of the Company appoint to receive the same in like manner and subject to like consequences on failure so to do as if those officers and persons had been appointed by and become possessed of the books documents or papers for the Company. As to books and documents of trust.

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A.D. 1919. Provided always that for the purpose of carrying out the provisions of this Act and the scheduled agreement the directors and any other liquidators of the trust and any of their officers and servants shall be entitled at all reasonable times to inspect and to take copies of or extracts from any such books documents or papers.

Books and documents to be evidence.

7. All books and documents which if this Act had not been passed would be evidence in respect of any matter for or against the trust shall on and after the fixed date be admissible as evidence in respect of the same or the like matter for or against the Company.

Dissolution of trust.

8. The trust shall forthwith after the fixed date be wound up voluntarily under the Companies (Consolidation) Act 1908 as if the trust had been incorporated under that Act and had passed a special resolution thereunder on the fixed date for voluntary winding up and had appointed the directors as liquidators and the provisions of the said Act of 1908 including the provisions thereof as to the winding up of a company shall apply to the trust accordingly.

Copy of Act to be sent to banks.

9. A copy of this Act shall as soon as the same has received the Royal Assent be forthwith sent to the head office of each bank having employees who are at the date of the passing of this Act guaranteed by the trust.

Saving for Alliance Company.

10. Save as is provided by the scheduled agreement nothing in this Act contained shall derogate from or prejudice the powers of the Company hereafter to alter its laws and regulations subject to and in accordance with the same formalities as now apply to the alteration thereof or to dispose of or deal with its assets or to carry on or discontinue its business or any part thereof.

Saving for general Acts.

11. Nothing in this Act shall be deemed to prevent the application to the Company of the Assurance Companies Act 1909 and any other Act which may be passed amending the same so far as the Company shall carry on the business of life assurance.

Copy of Act to be registered.

12. The Company shall deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same and if such copy is not so delivered within three months from the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of those three months during which the default

continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur the like penalty. Every penalty under this section shall be recoverable summarily. There shall be paid to the registrar by the Company on such copy being registered the like fee as is for the time being payable under the Companies (Consolidation) Act 1908 on registration of any document other than the memorandum or the abstract required to be filed with the registrar by a receiver or manager or the statement required to be sent to the registrar by the liquidator in a winding-up in England. A.D. 1919.

13. The costs charges and expenses preliminary to and of Costs of Act. and incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the trust and the Company in equal shares.

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The SCHEDULE referred to in the foregoing Act.

AGREEMENT FOR THE TRANSFER OF THE BUSINESS OF
THE BANKERS GUARANTEE TRUST TO THE ALLIANCE ASSURANCE
COMPANY.

Stamp.



AN AGREEMENT made the eleventh day of December one thousand nine hundred and eighteen between the BANKERS GUARANTEE TRUST incorporated under the Bankers Guarantee and Trust Fund Incorporation Act 1910 (hereinafter called "the Trust") of the one part and ALLIANCE ASSURANCE COMPANY LIMITED having its registered office at No. 1 Bartholomew Lane, in the City of London (hereinafter called "the Company") of the other part.

WHEREAS the objects of the Trust can be effected with greater economy and convenience by the Company than by the continuance of the Trust:

And whereas a Bill is about to be promoted in Parliament for the purpose of obtaining an Act authorising the Trust to transfer its business to the Company on the terms hereinafter appearing:

Now these presents witness that it is hereby agreed by and between the parties hereto as follows:—

1. This agreement is conditional upon the same being confirmed and sanctioned by Parliament and shall become absolute and have effect upon the day upon which the Royal Assent shall be given to the said intended Act and the Trust and the directors thereof shall forthwith promote and use their best endeavours to secure the passing into law of a Bill for the above purpose.

2. The Trust agrees immediately after the first day of July one thousand nine hundred and nineteen (hereinafter called "the fixed date") to transfer and make over to the Company all its business to the intent that the same shall as from that date be carried on by the Company as part of the Company's general business in such manner as the Company may from time to time think fit.

3. The Trust shall seek powers in the said Bill to enable the Trust forthwith after the commencement of the said intended Act to be wound up voluntarily under the provisions of the Companies

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(Consolidation) Act 1908 as if it had been incorporated under that Act and had on the day of the date of the commencement of the said intended Act passed a special resolution for voluntary winding up under the said Companies Act and had appointed as liquidators the directors in office at that date. A.D. 1919.

4. All the current and accruing liabilities of the Trust subsisting under guarantee agreements at the fixed date and not having then matured into claims in respect of defalcations already discovered shall be transferred to and taken over by the Company and all the outstanding contracts entered into by the Trust shall be carried out and given effect to by the Company as if it had been a party thereto in place of the Trust and the Trust shall as from that date be discharged from all liability thereunder and shall be indemnified by the Company against all claims and demands thereunder.

5. The liquidators shall out of the assets of the Trust pay to the Company as soon as conveniently may be a sum equal to twenty shillings per one hundred pounds on the amount at the fixed date guaranteed under all ordinary policies or guarantee agreements of the Trust including the special agreements mentioned in clause 8 hereof in force on the fixed date and to two shillings and sixpence per one hundred pounds on the amount at the same date guaranteed under the special rate and messengers' policies or agreements in force at the fixed date. For the purposes of this clause only those policies shall be deemed to be in force under which a claim can be made in respect of defalcations occurring after the fixed date. The said sum may if the Trust think fit be satisfied by transfer to the Company of part of the securities of the Trust to be agreed on between the parties and to be taken over at the middle price of the day on the date of transfer the costs of any such transfer whether as regards costs stamp duties fees or otherwise to be borne equally by the parties hereto. The securities so transferred shall carry with them the right to all interest and dividends thereon payable after the date of transfer except as regards any securities valued ex dividend in which cases the next dividend shall belong to the Trust.

6. The Trust shall also transfer and make over to the Company its business and connexion together with the right to the Company to represent itself as carrying on business in succession to and in continuation of the Trust and to use the name of the Trust in connexion with such business in such manner and to such extent and for such period as the Company may think fit the Company agreeing to indemnify the Trust against any claims arising in consequence of such user.

7. The residue of the said funds and securities and other assets of the Trust shall be realised by the liquidators with all convenient

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— liquidators in such proportion and manner as they shall think fit
amongst all or any of the following persons and institutions namely:—

- (a) Members insured under policies in respect of which the Trust shall pay to the Company the twenty shillings per one hundred pounds mentioned in clause 5 hereof;
- (b) Members (other than those employed in a temporary capacity) insured under policies in respect of which the Trust shall pay to the Company the two shillings and sixpence per one hundred pounds mentioned in clause 5 hereof;
- (c) Messengers insured under the policies in respect of which the Trust shall pay to the Company the two shillings and sixpence per one hundred pounds mentioned in clause 5 hereof; and
- (d) Charities institutions and societies for the benefit of bank employees or their families.

In order to ascertain the residue available for the purposes aforesaid the liquidators shall apply the necessary amounts first in discharge of the costs and expenses of the winding-up and in paying and satisfying any claims in respect of defalcations occurring before the fixed date provided that such claims are notified to the Trust not later than fourteen days after the fixed date and any other debts and liabilities of the Trust not taken over by the Company and secondly in payment of the clear sum of seven thousand pounds as and by way of compensation to the directors of the Trust in office at the date of the commencement of the Act such sum to be distributed among them in such proportions as the directors may determine and as to a sum not exceeding the clear sum of nine thousand pounds in compensation to such members of the staff of the said Trust including the secretary in such manner and proportions as the directors may determine.

8. All premiums to become due and payable on or after the fixed date under the guarantee agreements of the Trust in force at that date shall be paid to the Company. A sum equivalent to seventy per cent. of all instalments of premiums payable in respect of ordinary guarantee agreements effected prior to the fixed date including special agreements other than those subject to an annual premium throughout their duration shall be accepted by the Company as part satisfaction of the amount payable to it under clause 5 hereof. All premiums to become due on or after the fixed date under special rate and messengers' policies shall belong to the Company.

9. The Trust shall also assign to the Company so far as it lawfully can the benefit of any arrangements which the Trust may

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have at the fixed date with the various banks which have been insured by the Trust so far as relates to the contribution of such banks towards losses partly guaranteed by the Trust and also the benefit of all covenants and guarantees under policies issued by the Trust so far as such covenants and guarantees apply to claims notified to the Trust before the expiration of fourteen days after the fixed date and have not been realised prior to the final winding-up of the Trust. A.D. 1919.

10. The members of the representative council in office at the fixed date shall subject to their individual consents continue in office as an advisory committee to the Company for the period and on the terms on which they hold office at that date and thereafter may subject to the like consents be reappointed by the Company from time to time on similar terms.

11. Certain members of the staff of the Trust to be agreed on between the liquidators and the Company and the Trust shall subject to their individual consents be taken over by the Company on the same terms in all respects as those on which they shall at the fixed date be employed by the Trust but so that the Company shall be entitled to dispense with the services of any of such persons at any time on the terms that the Company shall thereafter pay to such person such pension or superannuation allowances as such person would have been entitled to under the rules and regulations of the Company if his service with the Company had commenced at the date when his services with the Trust commenced and had thereafter been continuous.

12. As soon as conveniently may be the liquidators shall execute and do and cause to be executed and done all such assurances and things as shall reasonably be required by the Company for vesting in the Company or in such nominee as the Company may direct all the property and assets agreed to be transferred under this agreement or the said intended Act and for giving the Company the full advantage of this agreement and the Company shall execute and do or procure to be executed and done all such deeds documents and things as may reasonably be required by the Trust or the liquidators thereof for the purpose of giving full effect to this agreement.

13. If this agreement shall not have been confirmed by Parliament before the fixed date or such later date as the parties hereto may either before or after the fixed date agree it shall be lawful for either the Company or the Trust by notice in writing to the other to rescind this agreement and thereupon the same shall be absolutely void and of no effect.

14. This agreement is made subject to such alterations as Parliament may think fit to make therein but in the event of either House

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15. Each party hereto shall bear and pay its own costs and expenses of and incidental to the negotiations for and the preparation execution and carrying through of this agreement save as herein expressly provided and the parties hereto shall bear in equal moieties the costs and expenses of the preliminary case for counsel's opinion and preparing for and obtaining and passing the said intended Act.

16. Any and every dispute difference or question which shall at any time arise between the parties hereto touching the construction meaning or effect of these presents or any clause or thing herein contained or the rights or liabilities of the said parties respectively under these presents or otherwise howsoever in relation to the premises shall be referred to the arbitration of two persons (one to be appointed by each party to the reference) or their umpire and this shall be deemed to be a submission to arbitration within the Arbitration Act 1889 or any statutory modification or re-enactment thereof for the time being in force the provisions whereof shall apply so far as applicable.

In witness whereof the parties hereto have hereunto affixed their common seals the day and year first above written.

Seal of the Bankers Guarantee Trust affixed }
in the presence of

JOHN M. G. BIDDULPH

Director.

WALTER S. GILLHAM

Secretary.

L.S.

The common seal of the Alliance Assurance }
Company Limited was hereunto affixed }
in the presence of

T. H. BURROUGHS

Director.

SIDNEY SMITH

Secretary.

L.S.

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